

Section A: General Information about the Company

- Company's Corporate Identity Number: **L24246MH2000PLC129806**
- Name of the Company: **Godrej Consumer Products Limited**
- Registered Address: **Godrej One, Pirojshanagar, Eastern Express Highway, Vikhroli (E), Mumbai 400 079**
- Website: **www.godrejcp.com**
- Email ID: **investor.relations@godrejcp.com**
- Financial Year Reported: **2021-22**
- Sector(s) that Company is Engaged in: **Personal and Household Care Products**
- List of Three Key Products and Services that the Company Manufactures/Provides: **Personal Care, Hair Care, and Home Care**
- Number of Business Activity Locations:
 - a) Number of International Locations:**

GCPL has undertaken business activity in more than 12 international locations, and the major ones are Indonesia, Argentina, Chile, South Africa, Kenya, Nigeria, Mozambique, Ghana, Tanzania, Sri Lanka, Bangladesh and USA
 - b) Number of National Locations:**

GCPL has carried out business activities across India, and the major manufacturing locations are Madhya Pradesh, Himachal Pradesh, Assam, Jammu, Pondicherry, Tamil Nadu, Meghalaya, Sikkim and Goa
- Markets Served: **Indian market, and export and operations in the aforementioned international geographies**

Section B: Financial Details of the Company (Standalone)

1. Paid-up Capital: ₹102.26 crore
2. Total Turnover: ₹6,819.32 crore (Standalone-Net of GST)
3. Total Profit After Taxes: ₹1,479.15 crore (Standalone)
4. Total Spending on CSR as a Percentage of Profit After Taxes: The Company has spent an amount of ₹30.49 crore, which is 2 per cent of average net profit of last three financial years calculated in the manner specified in Section 135 of the Companies Act, 2013 read with rules thereunder
5. List of activities in which expenditure in point 4 above has been incurred.
The major areas in which the above expenditure has been incurred includes:
 - COVID-19 relief and recovery projects
 - Livelihood enhancement projects
 - Environment sustainability
 - Promotion of preventive healthcare

Section C: Other Details

1. Does the Company have any Subsidiary Company/Companies?: **Yes**
2. Do the Subsidiary Company/Companies participate in the business responsibility (BR) initiatives of the parent company? If yes, then indicate the number of such subsidiary company(ies): **GCPL has subsidiaries in foreign countries and encourages subsidiaries to participate in BR initiatives. The BR policies of the subsidiaries are in line with the local requirements.**
3. Does any other entity/entities (e.g. suppliers and distributors) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities (less than 30 per cent, 30-60 per cent, and more than 60 per cent): **GCPL actively encourages adoption of BR initiatives by our business partners. Currently less than 30 per cent of other entities participate in the BR initiatives of the Company.**

Section D: Details of the BR Head

1. Details of Director/Directors Responsible for BR:

- a. Details of the Director(s) responsible for implementation of BR policy/policies:

Sudhir Sitapati

Managing Director & CEO

DIN: 09197063

- b. Details of BR Head DIN (if applicable):

Sudhir Sitapati

Managing Director & CEO

DIN: 09197063

Telephone number: 022-25188010

Email ID: investor.relations@godrejcp.com

2. Principle-wise (as per NVGs) BR Policy/Policies

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No. Principle-wise Policies

- 1 Does the Company have a policy/policies for the principles?: **Yes.**

P1: This forms a part of the Code of Conduct of the Company.

P2: The policy is a part of the Company's Sustainable Procurement Policy.

P3: This principle is covered under various policies of the Company, namely Code of Conduct for all employees, Equal Opportunities Policy, Prevention of Sexual Harassment, and Human Rights policy.

P4: This principle is covered under two policies of the Company, namely Code of Conduct for all employees and the CSR policy.

P5: This forms a part of the Human Rights policy.

P6: This forms a part of the Company's CSR policy.

P7: The Company does not have a separate policy. It works with collective platforms, such as trade and industry chambers and associations, to raise matters with the relevant government bodies. It is a member of FICCI and other trade associations.

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No.	Principle-wise Policies

P8: The Company has a CSR policy.

P9: The Company does not have a specific policy. This forms a part of the Code of Conduct of the Company.

Sr		P1	P2	P3	P4	P5	P6	P7	P8	P9
No.	Principle-wise Policies	Business Ethics	Sustainability	Employees wellbeing	Shareholders wellbeing	Human Rights	Environment	Regulatory Policy	Equitable Development	Customer
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national/international standards? If yes, specify in about 50 words (These policies have been framed keeping in view the goals of the organisation and the economic environment of the operations of the Company).	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	Y	N	Y	N
5	Does the Company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online.	The links have been mentioned in the principles below.								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the Company have an in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to	Y	Y	Y	Y	Y	Y	Y	Y	Y

Sr No.	Principle-wise Policies	P1	P2	P3	P4	P5	P6	P7	P8	P9
	address stakeholders' grievances related to the policy/policies?									
10	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

3. Governance Related to BR

1. Indicate the frequency with which the Board of Directors, Committee of the Board, or CEO assesses the BR performance of the Company (within 3 months, 3-6 months, annually, or more than 1 year).

The BR committee meets every 3-6 months to assess the BR performance of the Company.

2. Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently is it published?

The Company publishes an Annual Integrated Report that follows the <IR> framework. Our report is in line with the GRI Standards of ESG reporting. The web link to view these reports are <https://www.godrejcp.com/investors/annual-reports> and you can view the GRI Standards accountability here: <https://www.godrejcp.com/sustainability/our-strategy>

Section E: Principle-wise Performance

Principle 1: Businesses should conduct and govern themselves with ethics, transparency, and accountability

The Board of Directors and senior management of GCPL comply with the following Code of Conduct:

- Uphold ethical standards of integrity and probity
- Act objectively and constructively while exercising their duties
- Exercise their responsibilities in a bona fide manner in the interest of the Company
- Devote sufficient time and attention to their professional obligations for informed and balanced decision making
- Disallow any extraneous considerations that will vitiate their exercise of objective independent judgement in the paramount interest of the Company, as a whole, while concurring in or dissenting from the collective judgement of the Board in its decisions
- Not abuse their position to cause the detriment of the Company or its shareholders, to gain direct or indirect personal advantage, or to take advantage of any associated person
- Assist the Company in implementing the best corporate governance practices
- Strictly follow the guidelines and rules related to insider trading as stipulated by SEBI

The Board of Directors of GCPL shall observe the following Code:

- Act in accordance with the articles of the Company and provisions of the Listing Agreement
- Act in good faith to promote the objectives of the Company for the benefit of its members as a whole, and act in the best interests of the Company, its employees, shareholders, and the community and for the protection of the environment
- Exercise their duties with due and reasonable care, skill, and diligence and exercise independent judgement
- Not get involved in a situation in which they may have a direct or indirect interest that conflicts or may possibly conflict with the interest of the Company
- Not achieve or attempt to achieve any undue gain or advantage for either themselves or their relatives, partners, or associates. If a director is found guilty of making any undue gain, he/she shall be liable to pay an amount equal to that of the gain to the Company
- Not assign their office, and any assignment so made shall be void

Applicability of the Code of Conduct:

This Code of Conduct (Code) applies to the Directors of GCPL. It also applies to the senior management of the Company, which is one level below the executive directors, and all the functional heads. You can view the detailed Code available at <https://www.godrejcp.com/sustainability/codes-and-policies>. An annual confirmation affirming compliance with the Code of Conduct is obtained from the Board members and senior management every year, and the same has been obtained for the year ended March 31, 2022.

The Board and senior management are expected to strictly adhere to the principles outlined in the Code of Conduct. If any clause in the Code of Conduct is violated, the person is liable to stern disciplinary action, which could include termination of employment and such action as may be permissible under the law. For the reporting year, there were no breaches to our Code of Conduct.

Besides the Board and senior management, all team members are also expected to strictly adhere to our Code of Conduct and act with utmost integrity and ethics. The Code is freely available to all Godrej team members to familiarise themselves with it. If any team member violates any clause in the Code of Conduct, they are liable to strict disciplinary action, which could also include termination of employment. For the year, there were no breaches to the Code of Conduct by any of our team members.

Does the policy relating to ethics, bribery, and corruption cover only the Company? Yes/No. Does it extend to the Group/joint ventures/suppliers/contractors/NGOs/others?

The Company has a Code, which is applicable to all employees. For subsidiaries and joint ventures, the Code is applicable in line with the local requirements prevailing in the country of operation. The Company also encourages its business partners to follow the Code.

How many stakeholder complaints were received in the past financial year, and what percentage was satisfactorily resolved by the management?

There were no complaints outstanding at the beginning of the year. We received 116 complaints by shareholders during the year and we replied to them all.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

Sustainability is an integral part of our business and value chain, and it helps us provide high-quality, affordable goods to the 1.1 billion people, globally, who use our products on any given day. However, our stakeholders are not only limited to our customers but also include our team members, the supply chain, society, the government, and the environment.

We are committed to making environmental sustainability a key part of our manufacturing processes. From sourcing of raw materials to the technologies that we use at our plants, we are ensuring that our overall manufacturing approach is more future ready.

We are looking for ways to extend our sustainability efforts beyond our plants to impact the entire life cycle of our products. At product level, we've started product level monitoring of green parameters and completed lifecycle assessments (LCA) of our 6 of our major products that cover 50% of our India revenue. Our teams are working on implementing the opportunities identified in the LCA reports.

Our sustainability strategy aims to develop products that are environmentally sustainable. As part of this strategy, we are developing products that consume fewer energy resource (energy and water), emit fewer greenhouse gases (GHGs), and include 100 per cent recyclable, renewable, and/or natural materials.

List up to three of your products or services whose design has incorporated social or environmental concerns, risks, and/or opportunities.

We are constantly revamping our products and redesigning the packaging to decrease our material consumption. We aim to reduce the number of resources used and reduce our carbon footprint, while improving product performance. We used over 22,000 MT of paper packaging in fiscal year 2021-22 and over 85% of it is recycled.

In our products, we removed the handle and spout on the Ezee bottle, and reduced its weight, this saved us 120 MT/annum of plastic material. We moved Genteel from a bottle design to a pouch and saved 32 MT/annum of plastic material. We also reduced the size of our colorant and saved 56 MT/annum of MLP material.

Does the Company have procedures in place for sustainable sourcing (including transportation), and what percentage of inputs are sourced sustainably?

In India, our demand-driven supply chain has led to mutually beneficial relationships with our suppliers and dealers. We have extended this to include partnerships with key modern trade players. We have always laid emphasis on procuring raw materials responsibly. As a best practice, our procurement team looks at not only the initial cost but also the life cycle cost. Among the available alternatives, we prefer the material with the lowest life cycle cost for procurement.

We work closely with suppliers and manufacturing teams to explore and implement Recycle and Reuse programmes that are beneficial to the environment and create value addition for stakeholders. We aim at making our value chain environmentally friendly and responsible. We are committed to comply with the requirements of local environment laws and regulations in the countries and regions where we operate and source any material, product, or services.

We have developed a [Sustainable Procurement Policy](#) that's applicable to all our suppliers and vendors across the world.

Through the policy, we aim to have:

- Year-on-year an average 10% improvement in score for all suppliers who have participated in previous year assessment.
- In India, suppliers covering 75% of the procurement spend volume are included in the Sustainable Procurement Policy by FY 2025.
- 100% of Sourcing & Procurement team members to undergo periodical training on Sustainable Procurement Policy post assessment of suppliers.

In India, we work with over 600 suppliers. We have evaluated 135 suppliers so far (accounting for 72% of our procurement spends). Basis responses, composite scores were calculated for all suppliers, and the suppliers were classified into red, yellow, and green levels. The minimum threshold for vendors has been fixed at the yellow level, and targets have been provided to all the suppliers to improve their compliance to the yellow level within 1 year.

Due to the pandemic, we conducted only paper audits and no physical site visits. Of 125 vendors with historical scores, 51 vendors showed a positive improvement, however at an overall level the average scores remained flat. None of the vendors showed any noncompliance on ethical policies. We flagged 1 per cent of the evaluated suppliers in the sustainability risk zone.

In Argentina, we are assessing 14 vendors (accounting for about to 50 per cent of our purchases). These comprise of raw material suppliers, packaging suppliers and local material vendors. We have made efforts to execute an online audit of our vendors and have been monitoring their issues and risks.

In Chile, we are assessing 8 vendors (accounting for about to 27 per cent of our purchases). We are auditing our vendors for sustainability of their process and have been monitoring their issues and risks.

In Indonesia, we continue to work with 18 of our vendors (accounting for 65 per cent of our purchases) to monitor sustainability of their process.

Has the Company taken steps to procure goods and services from local and small producers including communities surrounding their place of work?

If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes. 80 per cent of all our materials sourced are from local suppliers. These suppliers are given priority payments as well as technology and quality system upgradation support. While developing a small-scale or local vendor, our category manager first visits the vendor's location to understand the capacity and processes at the vendors end. We then send across a baseline questionnaire (different for different categories) to the concerned vendor, and this is done to get a better understanding of the vendor's facilities and processes.

The questionnaire is evaluated, and we then make a request to audit the vendor. At the audit, we evaluate them as low-, moderate-, or high-risk vendors. Our moderate- and high-risk vendors are given 6 months' time to improve their facility and are scheduled for a re-audit. The vendors are also requested to provide a corrective and action report on our findings of the audit. These measures help us ensure the sustainability of our local suppliers and work on building their capability.

In addition, as a part of our community development initiative, we regularly source gift products in bulk from non-profit organisations and self-help groups for our events. Some of our team members have also volunteered their time and skills to help build the capability of these non-profit organisations, as a part of Brighter Giving, our structured volunteering programme.

Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste? (Separately as less than 5 per cent, 5-10 per cent, or more than 10 per cent)

In line with our philosophy of responsible sourcing, we relentlessly focus on ensuring that we reduce, recycle, and reuse our incoming materials. This helps us reduce our overall consumption of material and our products over all carbon footprint, and it helps us give back to the environment and society at large. In keeping with our zero waste to landfill goal, we have started diverting our waste from landfill to recycling or coprocessing. Since the fiscal year 2017-18, we have diverted more than 99 per cent of waste from landfill to recycling or coprocessing, and we continue to maintain this in the fiscal year 2021-22.

As a part of Extended Producer's Responsibility in India, we have collected and safely disposed 19,540 MT of post-consumer plastic packaging waste during the fiscal year 2021-22 from 28 states and 6 UTs. This constitutes to 100% equivalent of plastic waste generated from the sale of our products pan India. We continue to be plastic neutral and committed to maintaining this status going forward.

Principle 3: Businesses should promote the well-being of all employees

Code of Conduct

At GCPL, we focus on ensuring the well-being of all our team members. The safety and health of our team members is extremely crucial to us, and we are committed to building and maintaining a safe and healthy workplace. Ensuring diversity, zero discrimination, safety, health, and other attributes essential to a healthy and good working environment is a part of our Code of Conduct. All our team members demonstrate their commitment to follow the Code of Ethics while signing in their acceptance letter. The Code of Conduct is also available on the internal employee portal. A few of the principles of this Code of Conduct are listed below.

A. Diversity, anti-discrimination, and equal opportunities policy

We recognise merit and perseverance and encourage diversity in our company. We do not tolerate any form of discrimination on the basis of nationality, race, colour, religion, caste, gender, gender identity or expression, sexual orientation, disability, age, or marital status and allow for equal opportunities for all our team members.

We value diversity within the Group and are committed to offering equal opportunities in employment. We will not discriminate against any team member or applicant for employment. Godrej Industries Limited and Associate Companies also subscribes to the CII-ASSOCHAM Code of Conduct for Affirmative Action.

Pallavi Wad, Head - PSO, GCPL India & SAARC, serves as the Diversity Presiding Officer for our team members and seeks to resolve any complaints or queries that are raised in relation to diversity and discrimination.

During recruitment, we ensure that diverse profiles form a part of the talent pool being assessed for any role, and merit is the sole criterion for selection. We are driving our efforts to make all our workplaces and functions (sales and manufacturing) conducive for women.

Moreover, our Sustainable Procurement Policy extends the non-discrimination policy to our suppliers. All our suppliers must ensure that there is no discrimination in their hiring and employment practices on the basis of race, colour, gender, age, nationality, religion, sexual orientation, marital status, citizenship, disability, veteran status, and medical condition.

B. Prevention of sexual harassment

We are committed to creating and maintaining an atmosphere in which our team members can work together, without fear of sexual harassment, exploitation, or intimidation. We have ensured compliance with the Sexual Harassment of Women at Workplace (Prevention, Prohibition, and Redressal) Act, 2013.

We recently reconstituted our Internal Complaints Committee in accordance with the act to ensure that women are protected against sexual harassment at the workplace. This policy extends to all employees in India, including daily wage workers, contract workers, and trainees or the equivalent. It extends to all offices, units, and factories or any place visited by the employee during the course of employment and transportation provided for work-related travel. Every team member is made aware that the Group strongly opposes sexual harassment and that such behaviour is prohibited both by law and the Group policy. We take all necessary action(s) required to prevent and correct behaviour that violates this policy.

C. Safety and health

We remain committed to protecting and building a safe and healthy workplace.

We provide safe equipment and systems of work for all team members. All our team members are expected to ensure that they adhere to all norms and comply with all relevant statutory provisions. We also provide information, training, and supervision needed for compliance.

Furthermore, we are committed to the health and well-being of our team members and have an onsite medical centre, hospital, and children's day care facility within the Godrej Head Office, Vikhroli campus.

We strongly believe that vaccination is the first and most effective line of defence against the COVID-19 pandemic. We consistently ensured that our people (on-roll and off-roll), business partners, their families, household helpers, and our communities, across geographies, have access to vaccination. We hosted several vaccination drives and engaged in partnerships to ensure access to vaccination for all. We also shared extensive information around vaccination to build more awareness. In India, we helped 1.35 lakh people get vaccinated.

We have also enhanced safety measures across our offices and factories and for our sales team members on ground. This included extensive sanitisation measures, safety kits and protocol, redesigning floor layouts, and working plans to ensure social distancing measures. In line with local government guidelines, we shifted to remote work for our team members, as and when required.

On-campus facilities (Vikhroli, Head Office):

We have a canteen facility in the campus where refreshments are provided. Transport facility is provided from the office to the nearest railway station and the Godrej Housing Colony. We have a Bank ATM and a travel help desk in our premise. We also have a fitness centre with state-of-art equipment, full-time fitness instructors, and a nutritionist. All our sites are non-smoking zones, and smoking is strictly prohibited in the campus.

Mental wellness

Our Employee Assistance Programme offers a confidential service to enable mental wellness. We have partnered with 1to1help and have a mix of reliable self- help resources and personalised counselling sessions to choose from.

Women's area:

A women's area has been designed for all our female team members as a resting and nursing space, specifically for expecting mothers, new mothers, and women

with special needs.

Some of the facilities provided are as follows:

1. Three resting rooms with a mini fridge
2. Lounge seating with magazines and newspapers and a tea and coffee station available throughout the day during operational hours
3. First aid and essential medicines

Our progressive HR policies:

GCPL prides itself on being a great place to work, a fact recognised and acknowledged externally also. This is evident in GCPL's consistent ranking as 'the best company to work for' in India in the Great Place to Work Study.

Our HR policies, such as flexible work hours, work from home arrangements, and part-time work, go a long way in ensuring that our team members successfully strike a work-life balance. Some of our policies include the following:

A. Maternity and Paternity Leave and Benefits Policy:

We provide a fully paid 6-month maternity leave and benefits and a flexible work arrangement for 6 months from the date one resumes work. We also provide 3 months' adoption leave and benefits, besides a paternity leave and benefits options.

B. COVID-19 support:

Apart from expanding the existing hospitalisation and medical policies for all Godrejites, we introduced additional measures for partners in our extended networks in India, for example:

- Introduced COVID-19 medical insurance and life insurance to our extended workforce, including salesmen on distributor rolls, CFAs, and drivers and computer operators.
- Covered home quarantine expenses, which are not a part of regular hospitalisation policies, for team members in frontline roles in manufacturing, Research & Development, and sales.
- Introduced safety measures around commuting to work.
- Partnered with Apollo, a healthcare service provider, for a 24 × 7 doctor-on-call service in India, and with Fab Hotels for hotel quarantine facilities in India.

We realised early on that while our central and local teams were doing their best to help our people, given the magnitude of the crisis, especially during the second wave of the pandemic in India, our collective reach and empathy as a company could make a significant difference. Therefore, we set up platforms to leverage our shared network at Godrej.

- A COVID-19 support help desk leveraged internal resources and the Godrej networks to help
- A COVID-19 support group on Workplace by Facebook, our internal social media platform, and Microsoft Teams amplified requests for help and shared resources related to COVID-19 support
- Godrejites volunteered their time to help with essential medicines and supplies (including the availability of oxygen and plasma), hospital beds, and other support.

C. COVID-19 vaccination:

- In addition to the COVID-19 inclusions to our medical insurance scheme, and the introduction of our mental wellness platform and aids, we are reimbursing the cost of vaccination for all Godrejites and their dependents as declared in our medical insurance scheme.

D. Late-Night Cab Facility:

We have a late-night cab facility for all women employees for their safe travel from work to home when working late in the office. We also provide Ola for business service that can be easily availed by our team members travelling for work anywhere in India.

F. Sustenance Allowance Policy:

We also offer sustenance allowance to our specially abled team members. This financial support is provided to our team members who require additional infrastructure and safe travel from home to work. This policy is applicable to all team members at GCPL. The objective is to improve the living conditions and provide better opportunities and sustenance to specially abled employees.

G. Women and Leadership:

We foster a holistic, supportive workplace for women. As a result of these efforts, share of India-based women employees in GCPL has increased from

14.4 per cent in FY 2020-21 to 16.1 per cent in FY 2021-22. In level 1, junior management level, women are 12.6 per cent of India workforce. In senior management, women are approximately 25 per cent of the workforce. Moreover, India based women comprise 13.7 per cent of employees in revenue-generating management functions.

Apart from our maternity benefits and day care facilities, we have a Caregiver Travel Policy, which enables new mothers to bring a caregiver and children up to 1 year of age, for necessary work-related travel. Through Careers 2.0, our second careers programme, we provide women who have taken a career break a chance to return to the workplace. It offers aspirational and challenging projects across sectors and functions with added flexibility to help women balance their careers and personal needs.

Our engagement forums:

There are multiple contact points for the leadership team to interact with our team members through forums, such as the long-range plan, annual operating plan cascades and updates, open houses, town halls, focus groups around engagement surveys, HR connect sessions, and skip-level meetings by senior leadership. Every quarter, our Managing Director and the senior leadership team runs townhalls and provides updates on Workplace by Facebook on the overview of our business performance to our team members. These sessions help us gain transparency in information sharing and improve interaction among our team members.

We also engage our team members with employee opinion surveys such as the In-tune survey organised by Aon, feedback survey on reviews, and the Great Place to Work survey organised by the Great Place to Work Institute, India. We featured in Great Place to Work® Institute's (India) Best Workplaces in Manufacturing (2022).

We practice Bedhadak Bolo as a philosophy that salutes the spirit of expression and innovation at Godrej. This encourages people to speak and express openly and fearlessly. Bedhadak Bolo has resulted in team members coming forward with their suggestions that have translated into numerous changes and innovations within the organisation. It has also resulted in improved team dynamics and an incredibly more open work environment.

We provide continuous skill upgradation and learning opportunities through structured career discussions and individual development plans. We invest in functional training for all our team members, on payroll and contract, in keeping with their current and future career aspirations. The learning suite encompasses

functional training, leadership development programmes, and behavioural training designed for leading self, leading others, and leading business. GCPL's Sustainable Procurement Policy also recommends that suppliers take the initiative to recruit a diverse and inclusive workforce in terms of gender, experience, and ethnicity. Our suppliers are expected to adopt robust and relevant management practices to comply with applicable health and safety laws, rules, regulations, and industry standards.

Does the Company have an employee association that is recognised by the management?

Yes.

What percentage of permanent employees are members of a recognised employee association?

The percentage of permanent employees who are members of a recognised employee association is 94.9 per cent. All eligible employees in our four manufacturing clusters (North, North East, Central West, and South) are considered for employee association. In three of the clusters, all employees are covered by trade union/collective bargaining agreements. In one of the clusters, employees are not part of any union although they are eligible and have the right to form or join one. As a company, we give complete freedom to employees to join a union if they want.

Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, and sexual harassment in the last financial year and pending, as on the end of the financial year.

We had received no complaints last year. For the fiscal year 2021-22, we received two sexual harassment complaints, and both have been resolved by following the protocols and procedures.

What percentage of your employees were given safety and skill upgradation training in the last year?

Percentage of permanent employees who are members of the recognised employee association	94.9*
Total permanent employees	2,601
Male	2,360
Female	241
Employees with disabilities	22

Percentage of employees less than 30 years of age	12
Percentage of employees between 30-50 years of age	74
Percentage of employees over 50 years of age	14
Contract employees	3,878

*All eligible employees in our four manufacturing clusters (North, North East, Central West, and South) are considered for employee association. In three of the clusters, all employees are covered by trade union/collective bargaining agreements. In one of the clusters, employees are not part of any union although they are eligible and have the right to form or join one. As a company, we give complete freedom to employees to join a union if they want.

Category	Safety				Skill upgradation			
	North Cluster	North East Cluster	South Cluster	Central West Cluster	North Cluster	South Cluster	North East Cluster	Central West Cluster
Permanent male employees (per cent)	100	100	100	100	100	100	94	100
Permanent female employees (per cent)	100	100	100	100	100	100	75	100
Employees with disabilities (per cent)	NA	NA	NA	100	NA	NA	NA	NA
Casual/temporary/contractual employees (per cent)	100	NA	NA	100	NA	NA	NA	15

Our Occupational Health & Safety (OHS) management system:

At GCPL, our vision is to inculcate safety and health in organization's culture and create an injury free organization, having no adverse health effects on all our employees and stakeholders. With this vision, we are striving to continually improve our processes and achieve higher standards of safety & health.

Our Safety & Health improvement plan is based on the four pillars:

1. People and Culture
2. Safety Infrastructure
3. Automation, Technology and AI
4. OHS Management System (based on various Health & Safety standards, including ISO 45001)
 - Competent OHS organisation
 - Safety culture & awareness
 - Hazard Identification & risk assessment
 - Risk mitigation & controls

- Continual Improvement
- Loss prevention, accident investigation & emergency management
- Health & Hygiene
- Tools for Safety performance measurement

We have adopted an innovative assessment and scoring matrix to measure the performance on the OHS management system. Our focus is to assess comprehensiveness and efficient implementation of these 4 pillars and ensure its effective implementation.

Our well-defined and measurable internal and external audit system helps us identify the best practices and improvement opportunities as a part of continual improvement plan.

Principle 4: Businesses should respect the interests of, and be responsive towards, all stakeholders, especially those who are disadvantaged, vulnerable, and marginalised

The stakeholder engagement process consists of a variety of activities from stakeholder identification, consultation, prioritisation, collaboration, and reporting. The identification of all relevant stakeholders and understanding their expectations is a primary concern for GCPL in our quest to be sustainable. We identify key stakeholders on the basis of their influence on our operations and our impact on them.

Last year we carried out an extensive materiality exercise by engaging a third party; enabling a thorough understanding of the relationship of the material issues with our business risks, objectives & value creation. We analysed material issues based on identification and prioritisation methodology. We followed a systematic step-wise process of primary and secondary research to gather relevant insights and carry out the necessary calculations to arrive at the materiality matrix. Primary inputs were collected through direct stakeholder engagement, with discussions on material issues with various stakeholder groups. We used surveys to reach out to employees and gather information at scale. Our secondary research is primarily documented analysis of various sector trends, sustainability reports and select peer analysis. These issues are further rated by the level of importance, by us and our stakeholders. Upon identifying a broad list of material issues, we interacted with each key stakeholder group. These included our beneficiaries and NGO partners in line with our goal to build inclusive and prosperous communities.

In the past, we have conducted a detailed community needs assessment in our priority plant locations. We invited an external third-party consultant to conduct the assessment. The team followed a three-step approach, where they connected with our plant and corporate office, conducted extensive field-based assessments, backed by thorough secondary research to validate key facts, and obtained additional information available from official sources. The result was a comprehensive report of the community, their needs, gaps in the system, and our way forward.

We are now working in partnership with the government, people of the village, and local village communities. This approach helps us to distribute accountability and ensure long-term impact of our community development initiatives.

Recruitment of candidates from the Scheduled Caste/Scheduled Tribe/Physically Challenged (SC/ST/PC) categories has been taken up as one of the major performance measures of the central recruitment process owner. GCPL participates

in government fairs for recruiting candidates from the SC/ST/PC categories. GCPL has also partnered with NGOs to provide employment opportunities and counselling to people who fall in one of those categories.

Key Highlights:

1. To sustain affirmative action in GCPL, the unit head interviews every SC/ST/PC candidate applying for a job before the final decision is taken. This is done to remove individual biases of managers against these categories of candidates, if any. Recruitment of SC/ST/PC candidates has been taken up as one of the performance measures of central recruitment process owner.
2. Our employee referral policy promotes referrals of SC/ST/PC candidates by offering higher referral amounts.
3. The HR function keeps a regular track of the progress of affirmative action in the organisation and takes necessary corrective actions, if needed. Adherence to and proactive involvement in affirmative action have been added to the performance targets of many of our team members.
4. For people with disabilities, we identify appropriate jobs and have necessary infrastructural facilities that enable them to work with dignity.
5. We have set aside a dedicated budget towards affirmative action.
6. We provide equal training and development opportunities to improve the employability of all our employees.

Partnership and initiatives for community development and affirmative action:

Central west manufacturing cluster:

In line with our commitment to uplift the standard of living of the people around our factories, we continue to work closely with the Singwari village near our Malanpur plant, near Gwalior in Madhya Pradesh. The village has a population of approximately 5,350 people, and we support to achieve education, water, sanitation, and healthcare priority needs of the village.

The list of initiatives in the fiscal year 2020-21 is as below:

- To fight the devastating second wave of COVID-19, we donated medical equipment such as bipap Machine, and oxygen concentrators, and medical supplies such as gloves, pulse oximeters, masks, PPE kits and sanitizers and soaps to Community Health Centre, Gohad, Distt. Bhind.
- As vaccinations are our best bet against COVID-19, we organised vaccination camps for all company & contractual employees for the 1st & 2nd dose.

- We are maintaining a garden and a playground with sports facilities to the primary school in Singwari. We also provided saplings to the school authorities to improve the green cover around the school premises.
- As a measure to motivate children to stay we distributed soaps to children with an average attendance of 80 per cent and above in the primary and middle schools in Singwari.
- In line with our global volunteering initiative, our team members volunteered virtually on Godrej Global Volunteering Week in December on the theme of Sustainable Living. Employees actively participated through the SuperHuman Race portal and uploaded photos of the sustainable practices they followed at home at in our manufacturing plant.
- To improve the employability of the youth, we partnered with schools, colleges, and industries to create awareness on quality concepts, entrepreneurship, environment, and safety based on Godrej experience.
- Singwari village has inadequate basic medical facilities. In order to fill this gap, we provide free medical aid to the villagers along with a consulting doctor who visits thrice a week. We have been running this free clinic since 1991.
- We are working to include SC/ST and PC people in our recruitment process. We have provided sustenance allowance to our PC team members which is 1.08 per cent of total workforce and SC/ST category forms 14.50 percent of our workforce. Additionally, 45 per cent of our contract team members are belongs to SC/ST category.
- We have also started implementing 'Youth Ki Awaaz' programme - a water, hygiene & sanitation initiative in collaboration with Family Health India that works with young people to drive change. Over 100 young people of Singwari village are a part of the initiative and it will impact over 2,000 households across four villages.
- We organised an awareness and training session on Road Safety for Singwari School children and teachers. We also distributed reflective tapes for improved visibility during night travel.
- We have a strong focus on diversity and inclusion, and we enable equal opportunities for all our team members. We are grooming women leaders at our manufacturing plant, and we have 18 women team members working and handling shift operations. We further engaged them in various activities such as volunteering

day and women empowerment programmes.

- To improve mental and physical well-being of children, we organised Yoga Day for middle school children and teachers at Singwari village.
- We provided relief support to flood affected families by distributing 500 kits of grocery items to the poor families in Distt. Bhind.
- We organized a career counselling session at our Malanpur plant for 40 village youths from four villages. Dr Rajeshwari Sawant (Principal) & Dr. Ashmita Dubey (Counsellor) from Gwalior Glory High School gave general tips to help young people decide their career goals to get better opportunities in their life.
- We organised 5S home certification programme for 80 young from four villages around Malanpur area. Seven spouses of our employees also participated in the session.



The Youth Ki Awaz programme is reaching out to over 2,000 households and creating awareness on water, hygiene and sanitation.

North manufacturing cluster:

- To fight the devastating second wave of COVID-19, we donated 12 oxygen concentrators to Model ESIC Hospital Baddi and CHC, Nalagarh to their COVID-19 care departments. We also provided 8 oxygen concentrators to CMO office Sambha, and Govt. Medical College Kathua, Jammu & Kashmir.

- Vaccinations are our best bet against COVID-19, we organised vaccination camps for all company & contractual employees for the 1st & 2nd dose. We vaccinated 893 people of which 328 were our employees on company roll, 61 family members and 504 contract workers. With this, 100% eligible employees were vaccinated.
- We have a strong focus on diversity and inclusion, and we enable equal opportunities for all our team members. In FY 2020-21 our diversity was 5 per cent and we have almost doubled it to 9 per cent in FY 2021-22. Our diversity rate during hiring for FY 2021-22 was 27.3 per cent.
- We built a public toilet and washroom facility for the community centre around our Baddi plant. The community centre caters to the people of Baddi and neighbouring villages and can accommodate close to 450 people. Maintenance of public toilets is usually a concern as the structures depreciate quickly because of lack of water, proper drainage and / or regular maintenance. We're working closely with the local community to put in place systems for maintenance of the community centre, as well as the toilet facility. We've ensured adequate water and sewage connections for ease of use. This is a permanent structure and our team on ground will make periodic visits and volunteer to ensure the facilities are maintained properly.



In our North Cluster, we vaccinated close to 900 of our team members and their families.

North east manufacturing cluster:

- In our fight against the devastating second wave of COVID-19, we supported Gauhati Medical College Hospital - a Govt. hospital by donating 12 ICU monitors & 10,000 litres of hand sanitizer. We also supported DC office Kamrup Rural by donating 3 oxygen concentrators.
- We organised vaccination camps for all company & contractual employees for the 1st & 2nd dose. We vaccinated 2,270 people that includes our employees, their family members, and casual contract workers.

South manufacturing cluster:

- We donated four sets of ventilator with trolleys and oxygen concentrators to Puducherry Government both at Pondicherry & Karaikal Units during the second wave of COVID-19 in June 2021.
- We donated 1,000 hand sanitizers 1,000 mask each to Bahour Commune Panchayat & Madagadipet Commune Panchayat, Pondicherry. We also sprayed disinfectant in a local village around our plant in collaboration with Bahour commune panchayat.
- We organised vaccination camps for all company & contractual employees for the 1st & 2nd dose. We vaccinated 740 people that includes our employees, and our contract workers.
- In order to create awareness to eliminate single use plastic, we joined with Puducherry Pollution Control Committee, and Puducherry Govt. to promote cloth bags. We distributed 1,500 cloth bags to Bahour Commune Panchayat at Pondicherry & Nedungadu Commune Panchayat at Karaikal.
- We celebrated the World Environment Day across all our units with the theme of Ecosystem Restoration on June 5, 2021 and planted saplings in communities around our plants.
- For our women contract workers, we organized breast feeding awareness session in August 2021. We also raised awareness on cancer in February 2022. We did this in collaboration with Venkateswara Medical College.
- In order to make a safe working space for women in our manufacturing sites across South Cluster, we have initiated a mega drive on POSH (Prevention of Sexual Harassment) awareness. This is aimed at covering all our workforce including casual and contractual labour. In FY 2021-22, we have covered 545 participants with over 1600 manhours of class room training through this drive, covering 40% of our total

workforce. We have also established a POSH Employee Resource Group (P-ERG) with all women participation from the contract labours to detect early warnings to prevent POSH incidents. This group meets every quarter and discusses possible areas of concerns that are addressed by the POSH committee.



In our South Cluster, we organised breast feeding and cancer awareness drives for our women contract workers.

Has the Company mapped its internal and external stakeholders?

Yes. In FY 2019-20, we carried out an extensive materiality exercise by engaging a third party; enabling a thorough understanding of the relationship of the material issues with our business risks, objectives & value creation. We analysed material issues based on identification and prioritisation methodology. We followed a systematic step-wise process of primary and secondary research to gather relevant insights and carry out the necessary calculations to arrive at the materiality matrix.

The material issues were further rated by the level of importance, by us and our stakeholders. Upon identifying a broad list of material issues, we interacted with each key stakeholder group. These included employees, leadership team, suppliers, distributors, consumers, investors, NGO partners, beneficiaries, and industry associations.

Out of the above, has the Company identified the disadvantaged, vulnerable, and marginalised stakeholders?

Yes. We invited an independent third-party external agency to carry out the needs assessment of the communities we work in. The team followed a three-step approach, where they connected with our plant and corporate office, conducted extensive field-based assessments backed by thorough secondary research to validate key facts, and obtained additional information available from official sources. The result is a comprehensive report of the community, various stakeholders, the vulnerable community and their needs, gaps in the system, and our way forward.

Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable, and marginalised stakeholders?

In the first two quarter of FY 2021-22 our focus was on relief and recovery programmes of COVID-19. Our plants donated critical medical equipment and suppliers to hospitals in their communities. We supported over 32,500 people food kits to the most vulnerable people. We also supported small businesses, street vendors and out-of-job adults with livelihoods support that directly impacted over 10,609 people.

We also supported 4,993 individuals to get government identity documents (IDs) and avail access to entitlements. This has unlocked over ₹34 lakhs for the people and their families. In Malanpur, we set up an entitlement facilitation centre to ensure people get access to and avail their basic entitlements of various state and central government welfare schemes. The project identified individuals and capacitated, trained, and handheld them to avail entitlements. We helped submit over 700 applications, which unlocked close to ₹1.3 lakhs in provident fund claims, savings of ₹2.5 lakhs, and insurance cover of ₹2.45 cr.

In addition, our team members volunteer their time through Brighter Giving, our structured volunteering platform, and offer their time and skills to help address a non-profit organisation's needs. This year all volunteering initiatives were online. Over 100 Godrejites across our companies volunteered their time and skills for different causes.

Principle 5: Businesses should respect and promote human rights

GCPL respects and promotes human rights for all individuals. We do not discriminate against any team member or applicant for employment on the basis of nationality, race, colour, religion, caste, gender, gender identity/expression, sexual orientation, disability, age, or marital status.

We developed a Human Rights Policy and released it in June 2017. We have updated the policy over the years. The policy can be viewed here:

<https://www.godrejcp.com/sustainability/codes-and-policies>

Post-releasing the policy, we have conducted a training for key HR personnel on human rights to institutionalise the process. Further, we have embedded human rights principles into our Code of Conduct for all employees.

The Human Rights Policy was adopted in 2017 and since then we have focused on the following aspects:

- All new recruits certify that they understand and accept the GCPL Code of Conduct which includes our Human Rights commitment.
- Conducted a self-assessment across our plants and locations in India to ensure compliance with our Policy
- Conducted a self-assessment across our plants and location in our GAUM cluster covering 7 countries
- Our sustainable supply chain policy focuses on responsible conduct with all stakeholders, employee health and safety, local community development, business integrity and ethics, and human rights. In India, we have conducted third party audits comprising 135 suppliers so far (accounting for around 72 per cent of our procurement spends). None of the suppliers were non-compliant. More info in the Supply Chain section.

Going forward we aim to work on some of our salient human rights with the support of our stakeholders. In FY23, we commit to:

- 1) carrying out self-assessments to identify to identify and resolve critical issues across remaining clusters;
- 2) articulate our ambition to work on select salient aspects and stakeholders by 2030;
- 3) creating an action plan to help us achieve the stated ambition.

Principle 6: Businesses should respect, protect, and make efforts to restore the environment

We are deeply committed to strengthening our approach to make environmental sustainability a key part of our manufacturing processes. By reducing our energy needs, managing our waste, and transforming our products, we are driving success both for our business and the planet. From sourcing of raw materials to the manufacturing technologies that we use at our plants, we are integrating sustainability into the very core of our business processes and value chain.

We are also looking for ways to extend our sustainability efforts beyond our manufacturing plants to impact the entire life cycle of our products. We are building capabilities to make our overall manufacturing approach more future ready. Our green commitment by FY 2025-26 is:

- Reduce GHG emission intensity by 45 per cent by 2025 (v. 2011 baseline) and carbon neutrality for Scope 1 and 2 emissions
- Reduce specific energy consumption by 40 per cent (v. 2011 baseline)
- Reduce water intensity by 40 per cent by 2025 (v. 2011 baseline) while maintaining water positivity
- Maintain zero waste to landfill and achieve zero liquid discharge
- Increase renewable energy use by 35 per cent
- Ensure a third of our all our products are greener than in 2020

We continuously strive to achieve our Good & Green goals and targets. We are using clean energy sources by shifting from the use of fossil fuels to that of renewable fuels, such as biomass, in boilers and procuring electricity from renewable energy sources. We are improving our productivity to reduce our specific water consumption while deploying rainwater harvesting system in all our manufacturing plants to further reduce our freshwater consumption. We have also undertaken several initiatives at our manufacturing facilities to reduce waste generation and divert the waste from landfill to gainful applications.

Here is our green performance as on March 2022

Energy

- Reduce specific energy consumption by 40 per cent by 2025 (v. 2011 baseline)
- Increase renewable energy portfolio to 35 per cent by 2025 (v. 2011 baseline)

Approach

- Improvements in processes and increase in efficiency of systems
- Adopting green energy sources such as solar and biomass

Performance

- Reduced our specific energy consumption by 33 per cent
- Increased renewable energy portfolio to 29.4 per cent

Water

- Reduce water intensity by 40 per cent by 2025 (v. 2011 baseline) while maintaining water positivity

Approach

- Innovative water management systems, technological improvements, and integrated watershed management programme

Performance

- Reduced water intensity by 38 per cent and achieved water positivity (we are conserving more water than we use in our operations through rainwater harvesting within our facilities and our community watershed programme).

Waste

- Maintain zero waste to landfill and achieve zero liquid discharge

Approach

- Judicious and innovative use of materials, including reuse and recycling

Performance

- Reduced our specific waste to landfill by 100 per cent (diverted 100% waste from landfill) and have assessed the quantity of liquid discharge and developed a plan to achieve zero liquid discharge

Emission

- Reduce GHG emission intensity by 45 per cent by 2025 (v. 2011 baseline) and carbon neutrality for Scope 1 and 2 emissions

Approach

- Adopting cleaner fuels such as biomass

Performance

- Reduced our GHG emissions intensity by 42 per cent

Greener products

- Ensure a third of our all our products are greener than in 2020

Approach

- Carry out life cycle assessments (LCA) for products covering 80 per cent of revenue
- Implement findings from LCA to manufacture greener products

Performance

- LCA carried out for products covering 50 per cent of revenue
- Started implementing initiatives to make greener products

We comply with all the requirements of the Central Pollution Control Board and State Pollution Control Boards. There have been no violations of any environmental laws and requirements for the fiscal year 2021-22.

We have created detailed checklists for compliance and continuously emphasise on improving productivity and plant utilisation. We have set targets for improvement in our environmental short-term and long-term performance.

(For detailed performance of our green goals, please visit our FY 2021-22 Integrated Annual Report [here](#) -> Making our supply chain best-in-class -> Sustainability of the process)

Does the policy related to Principle 6 cover only the Company, or does it extend to the Group/joint ventures/suppliers/contractors/NGOs/others?

All our major manufacturing units have policies on environment, healthcare, and safety measures. For the subsidiaries and joint ventures, the Code is applicable in keeping with the local requirements prevailing in the country of operation. We encourage our business partners to follow the policy.

To achieve our goals and ensure ethical conduct, it is imperative that our suppliers share our values and vision and raise the sustainability standards of our supply chain. We acknowledge that long-term sustainable development of our suppliers is critical to our joint success. We value our relationships with our 600+ suppliers who share our approach and vision towards doing business.

In keeping with our commitment to building a greener India, we have developed a Sustainable Procurement Policy, which is an extension of our values and is applicable to all our suppliers. Till date we have worked to implement the policy for

135 suppliers who account for 72% of our procurement spends. We conducted baseline assessment and communicated the baseline scores to the suppliers. We are now working closely with our suppliers to develop their voluntary targets.

We periodically review the policy to ensure that it continues to help us move towards our vision. The suppliers are audited for their performance against the four pillars of the policy—to be ethically driven, socially focussed, and green inspired and ensure quality-centred supply chain.

Does the Company have strategies/initiatives to address global environmental issues such as climate change and global warming? Yes/No. If yes, please give the hyperlink to the webpage?

Yes. All our manufacturing units have systems in place for monitoring GHG emissions, and short-term reduction targets with the long term aim of achieving scope 1 and 2 carbon neutrality. We've also committed towards the global Science Based Targets initiative (SBTi) and will publish our roadmap and targets for emissions reduction in FY 2022-23.

Our initiatives on improving energy mix and reducing specific consumption have helped us reduce our GHG emissions. Some of these initiatives include switching to renewable biomass for boilers, increased procurement of renewable energy, flue gas heat recovery from boilers for process utilisation, and installation of energy-efficient equipment, among others. In addition, we also continue to invest in community carbon mitigation programmes.

In addition to taking measures to reduce, reuse, and recycle waste at our manufacturing plants, we have initiated community waste management projects with the aim to divert waste from landfills. In the past we have collaborated with the Hyderabad, and Kalyan-Dombivali Municipal Corporations for urban waste management, and more recently we're working with the Pondicherry Municipal Corporation. We are also working with a social enterprise in Guwahati to recycle forest and agri residue into briquettes for use as biofuel and another project to convert plastic waste into fuel.

As part of our Extended Producer Responsibility, we have collected and processed over 19,540 MT of post-consumer plastic waste which is 100% of all the plastic waste we send out in our packaging making us plastic neutral. Please find details in Principle 2.

Globally, climate change is affecting seasonal weather patterns, leading to either intense precipitation or drought-like events. In the fiscal year 2016-17, we initiated

an Integrated Watershed Management Programme in the drought-prone district of Siddipet in Telangana. We are working in partnership with NABARD and an NGO to help restore the ecological balance of the region and mitigate the risk of climate change for the local farmers. Our efforts are designed to recharge groundwater and make more water available for irrigation over a total area of more than 3,300 hectares by FY 2024. Till FY21-22, we have completed treating 1,486 hectares of land covering 46% of the total area under the project. To date, we have provided over 6 lakh saplings for direct and seed dibbling. We brought 150 acres of barren land into cultivation through water table improvement by approximately 15 ft. The vegetable cultivation also increased from 5 acres of land to 23 acres. To diversify incomes, we enabled 40 women farmers to avail livelihood loans between ₹20,000 and ₹50,000 for dairy farming, setting up general stores, etc. We also captured 1.5 million KL of water in the fiscal year 2021-22, which has helped GCPL become a water positive company.

You can find more details about our initiatives on <https://www.godrejcp.com/sustainability/csr>

Does the Company identify and assess potential environmental risks? Yes/No.

Yes, potential aspects related to environment are identified and evaluated for their impact on the basis of severity, scale, and probability. All the significant aspects have operational control procedure in place.

Does the Company have any project related to the Clean Development Mechanism? If so, provide details thereof in approximately 50 words. Furthermore, if yes, has any environmental compliance report been released.

We are working on our Integrated Watershed Management Programme to be registered under Verified Carbon Standard. The project is currently under the validation phase and will mitigate 684,000 tonnes of CO₂e over the period of 20 years, which is equivalent to 34,000 tonnes of CO₂e per annum.

Has the Company undertaken any other initiative on clean technology, energy efficiency, or renewable energy? Yes/No. If yes, please give the hyperlink to the webpage.

This year our energy performance for the year was affected due to COVID-19 disruptions and intermittent start-stop operations. This also caused delays in all new energy and renewable initiatives that had been planned. Despite the challenges, we implemented 80 green initiatives across all our locations. Some of the major initiatives we undertook in the fiscal year 2021-22 are as follows:

- In India, North East cluster, we replaced thermal drying system with de-humidifier at our Kalapahar Coil plant. This helped reduce specific energy consumption by 45 per cent.
- In North Cluster, we have installed solar rooftop PV plants at Katha and Thana, and at Conso in South cluster to further add to our renewable energy portfolio.

Are the emissions/waste generated by the Company within the permissible limits issued by CPCB/SPCB for the financial year being reported?

Yes. All the units are compliant with the norms of CPCB and SPCB.

Number of show cause/legal notices received from CPCB/SPCB which are pending as on the end of the financial year.

Nil.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

Is your Company a member of any trade and chamber or association? If yes, name only the major ones that your business deals with.

GCPL ensures that its policy is with the highest degree of responsible and ethical behaviour, and it also works with collective platforms such as trade and industry chambers and associations to raise matters with the relevant government bodies.

GCPL is a member of trade associations such as Home Insect Control Association, Bombay Chamber of Commerce, and Industrial Waste Management Association. The total membership fees paid to the association during the fiscal year 2021-22 is ₹2,10,307. These associations regularly engage with relevant government bodies on various policy related matters and provide inputs or comments on behalf of the members.

We made no contributions to any political organisations or lobbyists during the year.

Have you advocated or lobbied through above associations for the advancement or improvement of public good? Yes/No. If yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy Security, Water, Food Security, and Sustainable Business Principle).

GCPL has representation through CII and other trade associations for advancement or improvement of public good.

Principle 8: Businesses should support inclusive growth and equitable development

Sustainability is intrinsically linked not just to our growth strategy but also to our legacy and values. We strongly believe we are accountable to our communities, while we continue to drive shareholder value. This helps us improve the lives of those at the base of the pyramid, preserve and protect the environment, improve the efficiency of our operations, and generate innovations.

Does the Company have specific programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes, please provide details thereof.

Yes. We have a dedicated sustainability and CSR department, Good & Green, which works towards a more inclusive and greener planet. The entire scope of work is defined in the CSR policy of the Company, which is available at <https://www.godrejcp.com/sustainability/codes-and-policies> and additional details about the programmes are available at <https://www.godrejcp.com/sustainability>. We run five key programmes addressing critical needs of the country and the communities we operate in. Four of our programmes are across India and one initiative is in communities around our manufacturing sites. First two quarters of year our focus was largely on COVID-19 second wave relief, reviving livelihoods, and COVID-19 vaccination awareness. The following is a list of our COVID-19 second wave initiatives and CSR programmes:

1. COVID-19 recovery initiatives to revive livelihoods and COVID-19 vaccination awareness

The impact of COVID-19 has been felt as a public health crisis of unprecedented proportions. It is also a long-term economic disaster impacting the lives and livelihoods of billions of people worldwide. Even when vaccinations began, people from low-income and underserved communities were left behind. In emerging markets where GCPL operates, this is further complicated by pre-existing inequalities.

Livelihood recovery and revival programmes

We provided need-based food relief kits to the most vulnerable in the geographies of key interest, such as around our manufacturing units, offices, and warehousing facilities. Furthermore, we provided support such as livelihood recovery training, access to returnable grants, training on business recovery, and handholding nano

and micro entrepreneurs to ensure they were able to successfully emerge from the second and third COVID-19 waves in India.

Responding to the need of the most vulnerable communities such as informal sector workers, domestic help, and other such communities, we provided 6,365 food kits to people across Goa, Gujarat, Jammu & Kashmir, Karnataka, Kerala, Maharashtra, Rajasthan, Uttar Pradesh, Uttarakhand, and West Bengal. Moreover, we donated medical equipment (such as ventilators, oxygen concentrators, hospital beds, and intensive-care-unit monitors) and consumables worth ₹2.5 crore to 20 hospitals in key locations for GCPL pan-India. Finally, 4.94 lakh units of masks, sanitisers, and soaps were distributed during the second wave to frontline workers and the most vulnerable communities.

In Kolkata and Guwahati, we provided livelihood recovery training and support to 7,166 street vendors—one of the most vulnerable and at-risk occupation groups within the informal sector workers. We trained them on health, hygiene, safe product handling, proper waste disposal, business and financial literacy, and digital payment methods. We also raised awareness on various social entitlements and social protection schemes available to them, and over 1,600 people applied for various schemes and entitlements.

In Thane and Palghar, we mobilised 90 entrepreneurs to establish micro-enterprises in rural areas that will positively impact over 600 people and help them set up market platforms. The project has a special focus on women and returned migrant worker-led enterprises. We developed enterprises in farm produce value addition, aggregation, and trading. We are also creating marketplaces for rural entrepreneurs by setting up farmer markets. These pop-up marketplaces will help connect buyers (urban India) and sellers (from rural India), leading to responsible consumption and production. Close to 75% of the entrepreneurs are active, and we are enabling their access to finance and government schemes.

In Baddi, Jammu, Pune, and Lucknow, we helped provide formal-sector jobs to 3,353 out-of-work adults and enabled 1,575 adolescents to stay in school. We placed 3,228 people in the formal sector with an average salary of ₹11,367. We engaged with adolescents and provided learning opportunities, enhancing their life skills and building their resilience.

Enabling access to entitlements

National and state governments have announced various welfare schemes for those who have been hit the hardest by the pandemic, and we are working with our non-profit partners to unlock these funds.

In Mumbai, we provided support to 4,993 individuals to get government identity documents (IDs) and avail access to entitlements. This has unlocked over ₹34 lakhs for the people and their families.

In Malanpur, we set up an entitlement facilitation centre to ensure people get access to and avail their basic entitlements of various state and central government welfare schemes. The project identified individuals and capacitated, trained, and handheld them to avail entitlements. We helped submit over 700 applications, which unlocked close to ₹1.3 lakhs in provident fund claims, savings of ₹2.5 lakhs, and insurance cover of ₹2.45 cr.

Raising vaccination awareness

As vaccines are our best bet to fight against COVID-19, we started vaccination awareness drives in communities around several of our manufacturing plants and warehousing facilities across six states of India.

In Andhra Pradesh, Karnataka, Puducherry, Telangana, Tamil Nadu, and Assam, we partnered with NGOs and local government healthcare workers to raise awareness and enable door-to-door vaccination services to low-income and underserved communities that have so far been left out. We have reached out to over 105,000 people and helped them get vaccinated.

2. Employability and livelihoods

At Godrej, we collaborate with non-profit organisations and social enterprises to design and run several employability training programmes for youth from low-income sections of society. We aim to improve the earning potential of our trainees by building their skills and empowering them. Apart from core domain skills, our programmes also focus on life skills training, entrepreneurship development and postplacement support.

Our livelihood programmes focus on economic empowerment and are a part of our CSR initiatives. They are guided by Good & Green vision and our [CSR policy](#), and are reported under Schedule VII, Section 135 of the Companies Act, 2013 in the Directors' Report. We follow a shared value approach that addresses critical economic needs of marginalised and underprivileged sections of society by leveraging our expertise.

Salon-i and Beautypreneur in India

Salon-i and Beautypreneur are our flagship programmes that train and work with women in the beauty industry.

The beauty and wellness industry has been badly hit during the pandemic. As per the MESME Ministry the sector has suffered over 70 lakh job losses during the lockdown. Healthcare concerns over the very nature of beauty operations has kept customers away from accessing beauty and wellness services.

Our partner—Samhita Social Ventures—in their study revealed that the income of small beauty parlours led by women was down by 50% at 6 months after the first lockdown. These micro-businesses are dependent on daily cash inflow to run their business. Moreover, their savings were exhausted during the first lockdown, and many reported job loss of their spouses, leaving them cash crunched. The second wave in India further compounded the scenario with many losing family members and/or having to deal with high medical bills.

In continuation of our partnership with Samhita's Revive initiative—a returnable grant model that provides access to timely grants and technical assistance to people and small businesses—we supported 681 Beautypreneurs in the fiscal year 2021-22. The financial assistance, ranging between ₹5,000 and ₹20,000 with a repayment period of 12 months, was used to buy safety equipment and salon consumables and, in some cases, to diversify into a new income stream, such as tailoring or catering. Through this process, the women have also learned important digital and financial skills. More than 75% of the beautypreneurs have repaid the returnable grants they have availed. After the devastating second wave of COVID-19, we issued a moratorium to ease the burden of repayment.

Since the fiscal year 2012-13, we have trained over 2,27,300 young women in beauty skills. During the fiscal year 2021-22, we restarted Salon-i after 18 months due to COVID-19 impact on the beauty sector. We trained a small batch of over 588 young girls this year. A third-party impact assessment of Salon-i showed a three-fold increase in our trainees participating in paid work, from 14% to 45%, of which 78% were first-time entrants in the workforce.

As an extension of Salon-i, we support women micro entrepreneurs in the beauty and wellness sector in various parts of the country to grow their businesses. The Beautypreneur project aims to handhold nano entrepreneurs to help them stabilise and expand their enterprises. Since the fiscal year 2016-17, we have supported over 4,910 women entrepreneurs and in FY22 we welcomed 750 new entrepreneurs to the cohort. In addition, we have expanded our work with barbers and have trained

and supported over 130 young men to on advanced hair styling skills and enterprise development.

A third party impact assessment undertaken this year found that despite the pandemic, our programme saw a return of INR 7.75 for every rupee invested in the FY21 cohort. Further, the study found:

- The median peak season monthly income of the entrepreneurs went up from INR 11,857 to INR 18,780 post the programme.
- Their average annual savings also rose over 40 per cent, from INR 16,022 before the training to INR 22,683.
- BPs said that they have improved their technical skills post training. 83% have rated their technical skills between 8-10 post training in comparison to pre training 24%.
- The average number of services a customer availed per visit before attending the training was 5.55, while the average number of services a customer availed after receiving the training was 6.90.
- 91% BPs feel that their business management skills have improved post training in comparison to 30% BPs before training.

These results were achieved by introducing them to a package of practices to rationalise their service rates, personal care and hygiene standards, ideas on how to attract and retain a client base, and record keeping.

(For more details about the Livelihood programme, please visit FY 2021-22 Integrated Annual Report [here](#) -> Building a more inclusive and Greener World)

2. Public health

Project EMBED started in 2015 in Madhya Pradesh in partnership with the Ministry of Health & Family Welfare's National Centre for Vector Borne Diseases Control (erstwhile NVBDCP) focusing on malaria elimination in line with the Government of India's mission. Over the past 6 years, we extended our initiative to Uttar Pradesh and Chhattisgarh, and in the fiscal year 2020-21, we also focused on dengue and chikungunya prevention in urban areas. We collaborate with NGOs and state governments to run intensive behaviour change programmes in regions with a high annual parasite index, where the case burden is the highest. We work in each location for 3 years, spreading awareness among households and people at the bottom of the pyramid and vulnerable and marginalised groups.

Our urban dengue and chikungunya project in four cities focuses on increasing the awareness of urban poor communities regarding the spread of mosquito-borne diseases and educating them regarding how to keep their families and communities

safe. The project currently runs in Bhopal and Gwalior in Madhya Pradesh and Lucknow and Kanpur in Uttar Pradesh. It aims to reduce dengue and chikungunya cases and associated mortality. The interventions under this project cover

- Home visits to provide education and awareness on the diseases and prevention
- Community campaigns for mass awareness
- Digital outreach with SMS, WhatsApp, interactive voice response, and community radio
- Training public healthcare providers
- Engaging with private healthcare practitioners
- Engaging with local public health authorities, schools & colleges, resident welfare associations, and professional associations

Our third project under EMBED focused on providing technical support to the Government of India and Government of Uttar Pradesh to help develop an integrated vector management protocol and support the roll out of the same in endemic states. This project aims to:

- Develop integrated vector management (IVM) protocols for short-term and long-term interventions
- Information, education, and communication of and behaviour change communication activities for at-risk communities using an IVM approach to vector-borne disease control
- Strengthen existing health systems and providers through capacity building on case identification, treatment, and referral and providing technical support
- Foster sustainable partnerships across multi-sectoral stakeholders to employ a collaborative approach
- Built the capacity of the state and district for outbreak investigation and management

Through the successful implementation of all three projects, by the fiscal year 2025-26, we aim to protect 30 million people against vector-borne diseases.

COVID-19 pivot

During the second wave of COVID-19 from April to June 2021, we distributed hand sanitizers to frontline workers, healthcare providers, and community members. We raised awareness and mobilised communities for COVID-19 vaccination and following COVID-19-appropriate behaviour. Numerous people were vaccinated due to the mobilisation carried out by our programme team. Additionally, we supported fever screening along with healthcare providers, linking fever cases for testing and

treatment services and following up home isolation cases with local healthcare (Accredited Social Health Activist, ASHA) workers.

We conducted a third party impact assessment of the rural malaria intervention in 4 districts of MP – namely Shivpuri, Sheopur, Alirajpur and Jhabua – one and a half years post completion of project and exit from December 2021 to February 2022. The study revealed that community awareness about malaria symptoms remains high at 98%), and testing for malaria when people have fever is at 70% among the respondents. This has led to frequent testing, timely treatment and faster recovery. 92% of the households that participated in the study are actively taking measures to keep their house and surroundings clean to ensure there are no mosquito breeding spaces in the community. The SROI value for the overall program is INR 12.57, i.e. for every rupee invested, the programme provides a value of 12.57.

Outreach

- In the fiscal year 2021-22, our rural malaria programmes reached out to 132,759 households in 778 villages in 7 districts across MP, UP, and Chattisgarh
- Our urban dengue programme reached out to 71,199 households in 406 urban settlements and 4 cities in UP and MP
- Via our technical support to GoI and GoUP on integrated vector management project, we reached out to 7 million people.
- In total, 1,083 ASHA workers were trained in the prevention and control methods of vector-borne diseases
- In total, 522 participants attended training on entomological surveillance, clinical management of malaria, and outbreak investigation
- Carried out 10 outbreak surveillance visits with NCVBDC and GoUP to manage Dengue and Zika outbreaks

Impact

- In our rural malaria project, while we have met the target of zero malaria cases in 2 out of 7 districts (Shivpuri and Sheopur), all districts have shown a remarkable drop in number of malaria positive cases (between 12-95% across districts). Similarly slide positivity rate has also reduced in all intervention districts (56-98%). Testing rates have gone up by anywhere between 8-510% across the districts.
- In our urban dengue project, dengue outbreaks took place across all intervention geographies and Zika in a couple of locations. Changing rainfall patterns and intermittent preventive measures due to focus on COVID-19 created perfect

conditions for mosquitoes to thrive. Our implementation partners worked in tandem with local government to carry out outbreak surveillance and management, identify and implement strategies for source reduction, and trained local teams including domestic breeder checkers, ASHA workers, and community volunteers to help contain the outbreaks and limit damage.

3. Waste management

Today, waste disposal has become a monumental problem that results in hazardous impacts on the environment and society alike. Over 1,50,000 tonnes of municipal solid waste is generated in India per day. To address this, we have commissioned and introduced community waste management projects by using circular economy principles.

In the past we have collaborated with the Hyderabad, and Kalyan-Dombivali Municipal Corporations. Since the fiscal year 2020-21, we have partnered with the Puducherry Municipal Corporation to implement a community waste management project. We have reached out to 16 wards in 3 zones of Puducherry covering over 35,000 people. We are digitally tracking the waste management process and raising awareness on door-to-door collection and source segregation. We have diverted over 7,300 kg of waste from landfills through clean-up drives and have set up a sanitation park. We provided 204 waste workers with occupational ID cards, and 26 workers enrolled on the PMJAY welfare scheme, which has unlocked a cover of ₹5 lakhs per family per year. Under the project we have set up a sanitation park or advanced segregation centre, in partnership with the Municipal Corporation. Through this centre, we aim to scientifically manage 140 metric tons of waste per day from Pondicherry to work towards a circular economy ecosystem for the city.

We are also working with a social enterprise in Guwahati to recycle forest and agri residue into briquettes for use as biofuel and another project to convert plastic waste into fuel. Through this project, we aim to divert 50 metric tons of waste per day from landfills by 2023. The facility is currently under construction and will be operational in FY23.

4. Watershed management

Currently, groundwater levels in Siddipet, Telangana are lower than 400 ft in many areas; as a result, farmers are under acute pressure. Our integrated watershed development project will help restore the ecological balance in the drought-prone

district of Siddipet. We partner with NABARD and a local NGO, to work with local communities to ensure their buy-in and create civil structures to capture rainwater at appropriate places, build capacity of local communities in water management, and train on sustainable agricultural practices.

Output

We have completed treating 1,486 hectares of land covering 46% of the total area under the project. To date, we have provided over 6 lakh saplings for direct and seed dibbling. We brought 150 acres of barren land into cultivation through water table improvement by approximately 15 ft. Vegetable cultivation also increased from 5 acres of land to 23 acres. To diversify their income, we enabled 40 women farmers to avail livelihood loans between ₹20,000 and ₹50,000 for dairy farming, setting up general stores, etc. We also captured 1.5 million KL of water in the fiscal year 2021-22, which has helped GCPL become a water positive company.

By the fiscal year 2023-24, we aim to treat 3,234 hectares of land, conserve 3.5 million kL of water per year, sink 30,000 tCO₂ per annum, as well as build the capacity of the whole community on water management and sustainable agriculture.

5. Community initiatives

Around our flagship plant in Malapur, we had rolled a 'Youth ki awaaz' initiative which is a water, health and sanitation behavior change programme that works with the young people to drive change.

In response to the second wave of COVID-19, the project pivoted to a local response initiative led by 81 young people to mobilise and raise awareness on vaccinations by reaching out to over 2,000 people in intervention villages. The project team was issued identity cards from the health department and has been working closely with Gram Panchayats, Panchayat Secretaries, Public Distribution Shops, and ASHA and Anganwadi workers.

Youth from the local villages participated in water and sanitation activities such as repairing handpumps, cleaning drainage, cleaning garbage dump and engaging school children to reduce single use plastic. The programme also organized adolescent health and menstrual hygiene. Over 300 girls were trained, and sanitary napkins were made available to them. The youth also raised community awareness on single use plastic and reached out to over 1,100 households. In addition, we engaged school children on various WASH activities and awareness drives.

Around our Baddi plant in North cluster, most recently, we built a public toilet and washroom facility for the community centre around our plant. The community centre caters to the people of Baddi and neighbouring villages and can accommodate close to 450 people. Maintenance of public toilets is usually a concern as the structures depreciate quickly because of lack of water, proper drainage and / or regular maintenance. We're working closely with the local community to put in place systems for maintenance of the community centre, as well as the toilet facility. We've ensured adequate water and sewage connections for ease of use. This is a permanent structure and our team on ground will make periodic visits and volunteer to ensure the facilities are maintained properly.

We also encourage our team members to volunteer their time for our communities. Our annual Godrej Global Volunteering Week is a platform for our team members to connect with our communities more meaningfully. In 2021, over 220 of our GCPL team members across 7 countries volunteered virtually on tiny sustainable living tasks. We hosted 60 tasks on the portal, and across the Group we had over 1,800 volunteers that helped save 16,420 litres of water, 55,142 kWh of electricity, and 2,311 kg of waste. We also got healthier, as we burned 43,840 calories and took time off for self-care.

Are the programmes/projects undertaken through in-house teams/own foundation/external NGO/government structure/any other organisation?

We collaborate with non-profit organisations and social enterprises to design and run a range social development programmes ranging from employability training and entrepreneurship development to public health and environmental sustainability. The programmes aim to improve the earning potential of our trainees by building their skills and empowering them, improve quality of life by reducing disease burden, and provide a cleaner and more sustainable environment for the communities we work with.

Have you done any impact assessment of your initiative?

We regularly evaluate all our programmes. We have carried out detailed impact assessments and SROI studies of our Salon-i programme, Beautypreneur initiative, and EMBED programme. All of these are available on our website and you can [view them here](#).

What is your Company's direct contribution to community development projects?

In the year, the Company spent 2 per cent per cent of PAT on CSR initiatives (2 per cent of the average net profits of last 3 years calculated in the manner specified in Section 135 of the Companies Act, 2013, with rules thereunder).

Principle 9: Businesses should engage with and provide value to their customers in a responsible manner

We are a customer-centric Company and attach considerable value to the trust, satisfaction, and loyalty of our customers across the world. Our primary focus is to delight our customers, both externally and internally. Customer-centricity is a part of the Godrej Group's Code of Conduct. We strive to ensure that customer needs are satisfied and that our products and services offer value to our customers.

Our customer focus extends not only to external but also internal customers. We firmly believe that external customer satisfaction can be attained only if the needs and reasonable expectations of internal customers are met. Our employees are strongly encouraged to act in accordance with this principle.

In FY21-22, we had no product recalls and no implications on our finances.

What percentage of customer complaints/consumer cases are pending as on the end of the financial year?

In our endeavour to strengthen our relationship with our stakeholders, we have addressed all feedback reported in the last financial year.

Does the Company display product information on product labels over and above what is mandated as per local laws? Yes/No/NA/Remarks (additional information).

GCPL displays adequate information to enable safe and effective usage of its products.

Is there any case led by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anticompetitive behaviour during the last five years and pending as on the end of this financial year? If so, provide details thereof, in about 50 words or so.

None.

Did your Company carry out any consumer survey/consumer satisfaction trends?

Yes.